

CHAPTER 3: INSURANCE AND INDEMNIFICATION

3.6. Workers' Compensation Insurance

F. Workers' Compensation Insurance

1. [3:515] **Workers' Compensation Benefits—In General:** Workers' compensation insurance is designed to cover the insured employer's liability under the California Workers' Compensation Act ([Labor Code § 3200 et seq.](#)). The Act provides a comprehensive system of remedies administered by the Workers' Compensation Appeals Board (WCAB):

- Under the statutory scheme, an employee injured in the workplace is entitled to workers' compensation benefits if the following “conditions of compensation” exist at the time of injury:
 - both the employer and employee are subject to provisions of Workers' Compensation Act;
 - the employee is performing service *related to* and *within* the course and scope of employment;
 - the injury is proximately caused by employment; and
 - the employee's injury is not intentionally self-inflicted, does not arise out of an altercation in which the injured employee is the initial physical aggressor, is not caused by the employee's commission of certain felonies or intoxication, and does not arise out of voluntary off-duty recreational activities. [See [Lab.C. § 3600\(a\)](#)]
- Where these conditions exist, the employer is subject to liability for such injuries “in lieu of any other liability whatsoever” and “*without regard to negligence.*” [[Lab.C. § 3600\(a\)](#) (emphasis added)]
 - a. [3:516] **WCAB proceedings as exclusive remedy:** Independent tort actions for work-related injuries are *preempted*. The WCAB proceedings provide the “*sole and exclusive remedy*” for physical and emotional injuries suffered in the course of employment. [See [Lab.C. §§ 3602\(a\), 5300](#); and *Shoemaker v. Myers* (1990) 52 C3d 1, 18, 276 CR 303, 314]
Cross-refer: Workers' Compensation Act preemption is discussed in detail at ¶ 15:505 *ff.*
 - b. [3:517] **Role of workers' compensation insurance:** The standard form workers' compensation policy covers “compensation and benefits” due by an employer under the Workers' Compensation Act and gives the insurer the “right and duty” to defend the insured employer in proceedings before the WCAB.
If the workers' compensation insurer accepts coverage of an injured worker's claim, the insurer substitutes for the employer and assumes the employer's liability for benefits owed to the employee under the Act. [[Lab.C. §§ 3755, 3757](#)]

[3:518 - 3:524] *Reserved.*

2. [3:525] **Coverage for Intentional Injury:** Because workers' compensation insurance covers the employer's liability in such proceedings, even intentional acts by the insured employer are covered. The Workers' Compensation Act provides the exclusive remedy for work-related injuries “notwithstanding that the injury resulted from the intentional conduct of the employer, and even though the employer's conduct might be characterized as egregious.” [*Shoemaker v. Myers*, *supra*, 52 C3d at 18, 276 CR at 314]
- a. [3:526] **Ins.C. § 533 not applicable:** Therefore, the [Ins.C. § 533](#) bar on coverage for liability arising from the insured's “wilful acts” (see ¶ 3:105 *ff.*) does not apply to workers' compensation insurance. [*Azevedo v. Abel* (1968) 264 CA2d 451, 458, 70 CR 710, 714]
 - b. [3:527] **Limitation—no coverage for “serious and willful misconduct” penalty:** Workers' compensation awards may

be increased by 50% where “serious and willful misconduct” by the “employer” is shown. But the workers' compensation insurer *may not* indemnify the employer against this penalty (see ¶ 3:549).

[3:528 - 3:534] Reserved.

3. [3:535] **Coverage for Injuries Caused by Employment Termination:** Injuries resulting from nonconsensual termination of employment are included within the scope of workers' compensation as “both the act of termination and the acts leading up to termination necessarily arise out of and occur during and in the course of the employment.” [*Shoemaker v. Myers* (1990) 52 C3d 1, 19-20, 276 CR 303, 314; see *Wong v. State Comp. Ins. Fund* (1993) 12 CA4th 686, 694, 16 CR2d 1, 5 (disapproved on other grounds by *La Jolla Beach & Tennis Club, Inc. v. Industrial Indem. Co.* (1994) 9 C4th 27, 36 CR2d 100)—constructive discharge]

“If the actions of the employer in terminating the employee ‘constitute a normal part of the employment relationship,’ injuries which result are subject to the exclusive remedy provisions of Labor Code section 3602.” [*B & E Convalescent Ctr. v. State Comp. Ins. Fund* (1992) 8 CA4th 78, 89, 9 CR2d 894, 901]

a. [3:536] **Includes emotional distress claims:** No civil action lies for claims for emotional distress and mental anguish “arising out of and in the course of employment.” Such claims are preempted by the exclusivity provisions of the workers' compensation law, *notwithstanding the absence of any compensable physical disability*. [*Livitsanos v. Sup.Ct. (Continental Culture Specialists, Inc.)* (1992) 2 C4th 744, 754, 7 CR2d 808, 815; see also *Shoemaker v. Myers*, *supra*, 52 C3d at 25, 276 CR at 318—disabling injuries, whether mental or physical, arising out of employment termination, are generally within realm of workers' comp law and subject to its exclusive remedy provision]

(1) [3:537] **Compare—no benefits for post-termination injury:** However, there is no workers' compensation coverage for emotional distress or psychiatric injury that *arises after* the termination and solely because of the termination (e.g., worker becomes depressed after being unable to find new employment): “The fact of job termination by an employer, without more, cannot result in liability to the terminated employee by way of a workers' compensation award.” [*Bray v. WCAB* (1994) 26 CA4th 530, 539-540, 31 CR2d 580, 586—“To hold otherwise would quickly convert workers' compensation into another form of unemployment insurance”]

b. [3:538] **Includes liability for wrongful discharge of or discrimination against employees claiming workers' compensation benefits:** An employer who discharges or discriminates against an employee for claiming or receiving workers' compensation benefits may be ordered:

— to pay the employee a 50% increase in compensation up to \$10,000;

— to pay the employee's costs and expenses up to \$250;

— to reinstate the employee; and

— to reimburse the employee for lost wages and work benefits. [Lab.C. § 132a(1)]

An award under Lab.C. § 132a constitutes “compensation and benefits required of the insured by the workers' compensation law.” Therefore, the employer's liability for violating Lab.C. § 132a is covered by its workers' compensation policy. [See *Burton v. Workers' Comp. Appeals Bd.* (1980) 112 CA3d 85, 87, 169 CR 72, 73]

[3:539 - 3:544] Reserved.

4. [3:545] **Coverage for Penalties Imposed by WCAB:** In certain cases, additional sums may be recoverable against a workers' compensation insurance carrier:

a. [3:546] **Penalty for “unreasonable delay or refusal to pay benefits”:** The WCAB may impose a penalty of 25% of the total award, or \$10,000, whichever is less, where compensation benefits have been “unreasonably delayed or refused.” [Lab.C. § 5814(a) (emphasis added)] (The 25% penalty does not apply where the employer discovers a potential violation *before* the employee claims the 25% penalty and, within 90 days after discovery, pays the benefits due plus a self-imposed penalty of 10%; see Lab.C. § 5814(b).)

(1) [3:547] **“Unreasonably”**: “Unreasonably” is tested objectively. The only satisfactory excuse for a delay or refusal is *genuine doubt*, from a medical or legal standpoint, as to the employer's liability for benefits. The carrier bears the burden of proving such genuine doubt. [*Ralph's Grocery Co. v. WCAB* (1995) 38 CA4th 820, 830, 45 CR2d 197, 203]

[3:547.1 - 3:547.4] Reserved.

(2) [3:547.5] **Administrative penalty for repeated violations**: Where an employer or insurer *knowingly* violates Lab.C. § 5814 (¶ 3:546) “with a frequency that indicates a general business practice,” the WCAB may impose administrative penalties of up to \$400,000. [Lab.C. § 5814.6(a)]

b. [3:548] **10% penalty for delay in payment of temporary disability benefits**: A “strict liability” penalty is imposed for late payment of benefits *without* any showing that the carrier acted “unreasonably.” Lab.C. § 4650 requires the carrier to pay an additional 10% if temporary disability benefits are not paid *within 14 days* after the insurer is notified of the injury. (This penalty does not apply, however, if the insurer denies liability or notifies the injured employee within the 14-day period what additional information is required to act on the claim.) [Lab.C. § 4650]

c. [3:549] **Compare—no insurance coverage for 50% penalty for “serious and willful misconduct”**: A compensation award may be increased by 50% where the employee's injuries result from “serious and willful misconduct” by the employer. [Lab.C. § 4553]

Insurers may *not* indemnify the employer against this liability: “An insurer shall not insure against the liability of the employer for the additional compensation recoverable for serious and willful misconduct of the employer or his agent.” [Ins.C. § 11661; see *Azevedo v. Abel* (1968) 264 CA2d 451, 457, 70 CR 710, 714, fn. 10; see also *Imperial Irrigation Dist. v. Chubb/Pacific Indem. Group* (1979) 95 CA3d 317, 320-321, 157 CR 733, 734—applies to any CGL insurer entering the field of workers' compensation indemnity]

(1) [3:550] **Duty to defend against charges of “serious and willful misconduct”?** The ban on indemnifying against the penalty does not prevent an insurer from covering the cost of defending against charges of “serious and willful misconduct.” [Ins.C. § 11661]

But not every workers' compensation policy does so. [See *B & E Convalescent Ctr. v. State Comp. Ins. Fund* (1992) 8 CA4th 78, 102, 9 CR2d 894, 910—policy stated defense would be *optional* with insurer]

[3:551 - 3:559] Reserved.

5. [3:560] **No Duty to Defend Employer in Civil Suits**: The workers' compensation insurer's duty to defend covered claims against the employer (see Ins.C. §§ 11650-11654) is limited to proceedings before the WCAB. A workers' compensation insurer owes *no duty to defend a civil court action* for damages against the employer. [*La Jolla Beach & Tennis Club, Inc. v. Industrial Indem. Co.* (1994) 9 C4th 27, 42-43, 36 CR2d 100, 108-109—no duty to defend former employee's suit alleging wrongful termination in violation of public policy]

a. [3:561] **Rationale**: The civil and workers' compensation systems are distinct. Therefore, there is *no potential coverage* under a workers' compensation policy for damages awardable in a civil action. [*La Jolla Beach & Tennis Club, Inc. v. Industrial Indem. Co.*, *supra*, 9 C4th at 42-43, 36 CR2d at 108-109; see also *Transamerica Ins. Co. v. Sup.Ct. (Western Industrial Mgmt. Corp.)* (1994) 29 CA4th 1705, 1715, 35 CR2d 259, 264]

b. [3:562] **Immaterial that same facts involved in both WCAB proceedings and civil action**: The fact the civil action may adjudicate facts at issue in the workers' compensation proceeding does *not* create a potential for coverage under the workers' compensation insurance: “[T]he test is whether the *underlying action for which defense and indemnity is sought* potentially seeks relief within the coverage of the policy.” [*La Jolla Beach & Tennis Club, Inc. v. Industrial Indem. Co.*, *supra*, 9 C4th at 44, 36 CR2d at 110 (emphasis in original)]

Cross-refer: Workers' compensation insurance is discussed further in Croskey, Heeseman, Ehrlich & Klee, *Cal. Prac. Guide: Insurance Litigation* (TRG), Ch. 7G.

[3:563 - 3:574] Reserved.